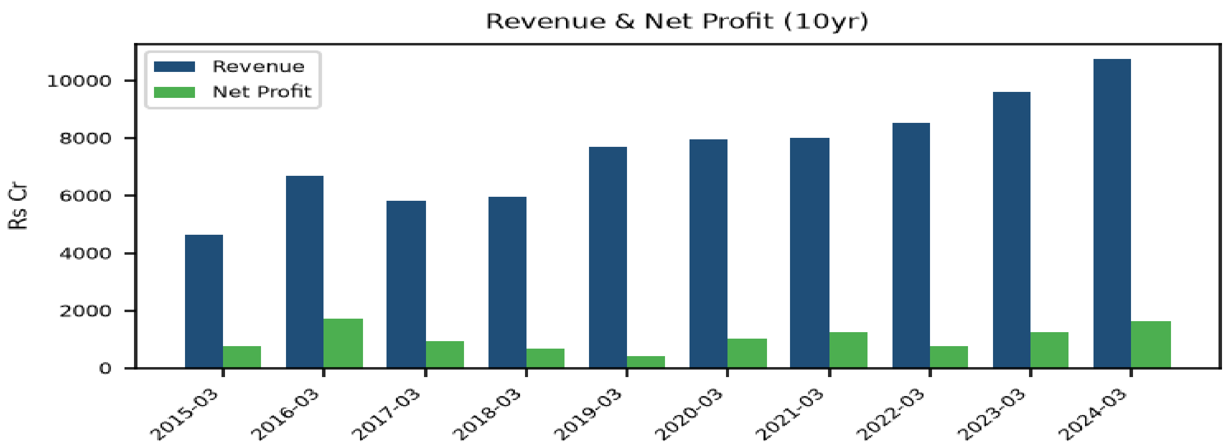
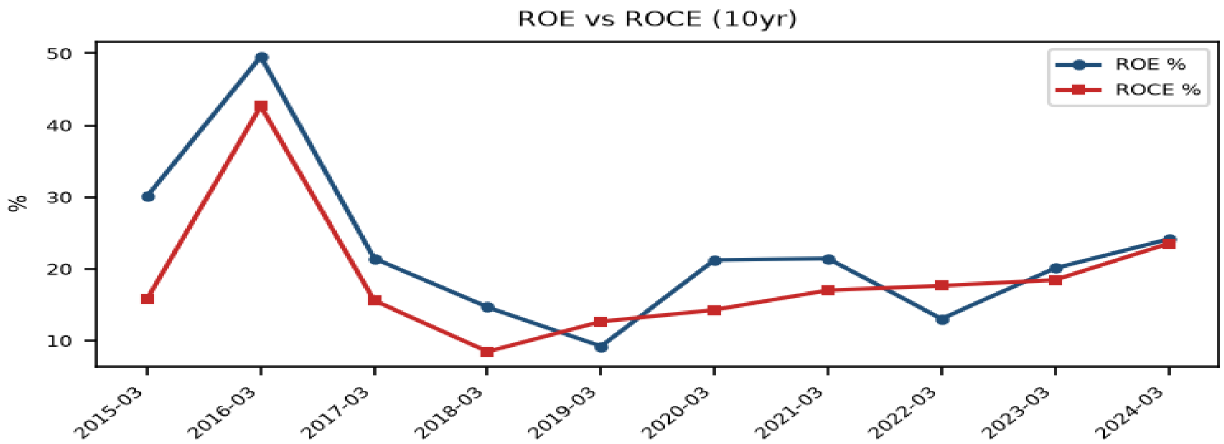
Torrent Pharmaceuticals Ltd (TORNTPHARM)

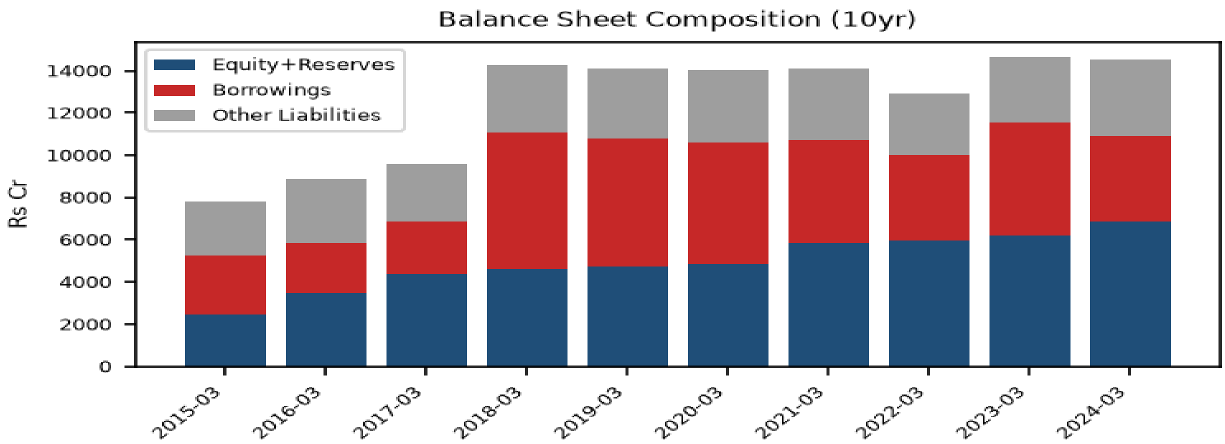
Sector: Healthcare

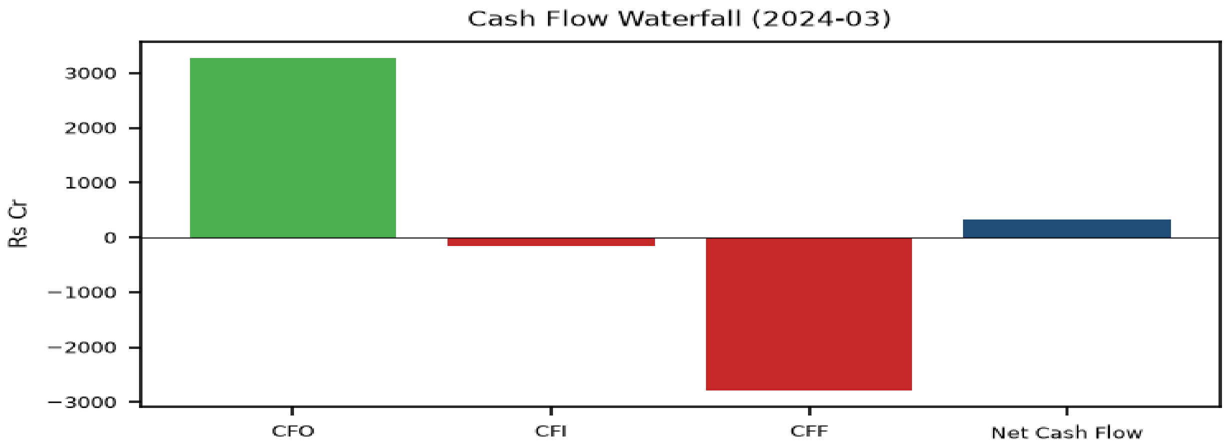
ROE	ROCE	D/E
24.2%	**23.5%**	**0.59x**

OPM	Revenue CAGR 5yr	Free Cash Flow
31.4%	**6.9%**	**Rs 3,106 Cr**









Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Growing asset base funded by internal accruals reflects self-sustaining growth

Cons

- Insufficient historical data available to assess business risks in detail

Capital Allocation: Shareholder Returns